

There is no free lunch on Wall Street. There is risk. This risk can be controlled to some extent through good investment policy and prudent execution of that policy. Disciplined investors who follow their well-defined investment policy will come out far ahead over those who drift aimlessly from strategy to strategy, hoping for a lucky break.

The lessons in this book are simple. First, allocate your investments across multiple asset classes to reduce overall portfolio risk. Second, invest broadly within each asset class to eliminate the specific risk of owning any single security. Third, keep your costs as low as feasible, including taxes. Fourth, rebalance your portfolio periodically to keep your risk on target with your investment policy.

Asset allocation is a simple concept to understand and yet extremely difficult to implement. You can select asset classes easily, decide on the percentage target for each asset class, choose low-cost mutual funds to represent the asset classes, and perhaps intend to get your portfolio on track.

Yet, despite good intentions, many people have great difficulty implementing their strategy fully or maintaining it after the initial allocation. There are too many distractions. You don't have the time, the market doesn't look right, the talking heads are saying something else. and so on. To top it all off, a friend or family member was just hired by a brokerage firm, and you promised to listen to his or her novice sales ideas. Procrastination has killed good intentions.

Rebalancing is often the most difficult part of an asset allocation strategy because it is counterintuitive. Rebalancing requires you to sell a little of the investment that went up and buy more of what went down. Can you imagine buying stocks in early 2009 when the market was more than 60 percent below its high and every expert on television was predicting lower prices? That is exactly what the strategy required, and the only investors who were rewarded with excess returns by the end of 2009 were those who rebalanced religiously.

The temptations to deviate from a simple investment strategy are great. I know from my years of experience that many people are not able to stay the course. There is a solution. If you do not have the discipline to manage an asset allocation strategy yourself, then hire a competent, low-fee advisor to do it. You will pay for this service, but at least the job gets done fully and efficiently.